**ASSET REGISTER**

| ASSET. | Delivery Vehicle ND 46874 | DATE OF PURCHASE | 1 March 20.0 |
|---|---|---|---|
| COST PRICE | R240 000 | DEPRECIATION RATE | 15% p.a. on cost |

**RECORD OF DEPRECIATION**

| Date | Depreciation | Accumulated depreciation | Book value |
|---|---|---|---|
| 28 Feb 2001 | R36 000 | R36 000 | R204 000 |
| 28 Feb 2002 | R36 000 | R72 000 | R168 000 |
| 28 Feb 2003 | R36 000 | R108 000 | R132 000 |
| 28 Feb 2004 | R36 000 | R144 000 | R96 000 |
| 28 Feb 2005 | R36 000 | R180 000 | R60 000 |
| | | | |

## SALE OF AN ASSET AT THE END OR DURING THE YEAR

### TASK 2.20 ☺ [LO 3 AS 3.3]

Different answers are possible as learners will be using their own figures depending on the month during the year that they choose to demonstrate their answer. However, if the asset was sold during the year, a portion of the year's depreciation will be added to the accumulated depreciation. As a result, if they still sell the vehicle for R74 000, the profit on the sale of this vehicle will be higher.

### TASK 2.21 ☺ [LO 3 AS 3.3]

**Mboni Distributors**

| Date of sale (2005) | Amount of depreciation for 2005 | Profit on sale | Loss on sale |
|---|---|---|---|
| **1 January** | **Nil** | | **R4 000** |
| **1 July** | **R3 000** | | **R1 000** |
| 31 March | R1 500 | | R2 500 |
| 1 October | R4 500 | R500 | |
| 1 May | R2 000 | | R2 000 |
| 1 November | R5 000 | R1 000 | |

### TASK 2.22 ☺ [LO 3 AS 3.3]

**GENERAL LEDGER OF BG PLUMBERS**

BALANCE SHEET SECTION

MOTOR VEHICLES B

| | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|
| 20.4 Mar | 01 | Balance | b/d | **132 500** | 20.5 Feb | 28 | Asset disposal | GJ | **132 500** |

ACCUMULATED DEPRECIATION ON MOTOR VEHICLE B

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| 20.5 Feb | 28 | Asset disposal | GJ | 64 660 | 20.4 Mar | 01 | Balance | b/d | 47 700 |
| | | | | | 20.5 Feb | 28 | Depreciation | GJ | 16 960 |
| | | | | **64 660** | | | | | **64 660** |